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India Inc. Goes Global

India Inc. strode onto the global stage, powered by high domestic growth, easy capital and managerial confidence. Indian companies began acquiring iconic foreign assets, from Lakshmi Mittal's takeover of Arcelor to Tata Steel buying Corus and Tata Motors acquiring Jaguar Land Rover. These deals signalled a decisive shift from outsourcing to ownership, projecting Indian firms as global consolidators.



THE SMALL BIG CAR

RAVI S SAHANI

domestic demand compensated for policy inertia. Yet even at the peak of the boom, fault lines were visible. Food inflation was persistent, inequality was widening, and the benefits of growth were unevenly distributed.

The global financial crisis of 2008 brought the boom to a sudden halt. India was not at the epicentre of the crisis, but it was not insulated either. Capital fled emerging markets, exports slowed, industrial output contracted and the Sensex lost over half its value from its peak. Growth slipped to around 7 per cent in 2008-09, marking a decisive break from the high-growth narrative.

The UPA government responded aggressively. Fiscal stimulus packages were rolled out, interest rates were cut, and a massive farm loan waiver, politically timed ahead of the 2009 general election, was deployed to shore up rural demand. These measures succeeded in preventing a recession, and India emerged from the crisis faster than many advanced economies. But they came at a cost. Fiscal deficits ballooned, inflationary pressures intensified and the reform momentum never quite materialised.

The 2009 electoral mandate gave the UPA a rare opportunity: freed from Left support and armed with political legitimacy, it could have pursued second-generation reforms. Instead, the period that followed saw growing friction between government and business. What emerged was a paradox. While sectors at arm's length from the State—IT, pharma-

RATAN TATA
Chairman, Tata Group, in an interview with* INDIA TODAY *on Jan. 21, 2008

"The Nano could not just change the way India will move but also move the world to change the way it views Indian capabilities"